14 July 2026

China Pharma and Biotech

China Pharma & Biotech: 2Q/1H26 earnings preview - amid anti-corruption and VBP, innovative leaders separate from the pack

Rebecca Liang, Ph.D.
+852 2123 2656
rebecca.liang@bernsteinsg.com

Ellie Li
+852 2123 2621
ellie.li@bernsteinsg.com

China's healthcare anti-corruption campaign intensified in 2Q26, but the impact has so far been more targeted and compliance-focused than the broad freeze seen in 2023. **Company feedback points to uneven effects** across the sector: **Hengrui highlighted temporary disruptions** to academic promotion and hospital formulary listing processes, particularly in lower-tier cities, while Innovent indicated limited impact. We expect near-term friction in physician engagement and promotional activities to modestly slow prescription growth, particularly for crowded therapeutic categories and me-too products. **However, longer term, the campaign should favor companies with clinically differentiated products** as prescribing decisions become increasingly driven by efficacy, safety and real-world outcomes rather than promotional intensity.

VBP Batch 12 was announced in late June covering 65 molecules across several large off-patent therapeutic categories. Within our coverage, **Hengrui and Hansoh** are the most exposed names, although the earnings implications appear manageable at the company level. For Hengrui, Sevoflurane alone contributes c.7% of sales and could see cumulative revenue erosion of **CNY0.5–1.3 Bn** over the next 2-3 years, while Hansoh has exposure through two mature products. Nevertheless, both companies now derive the majority of growth from innovative products, **limiting the company-level significance of VBP** despite potentially meaningful product-level pressure.

Drug sales update: Online GLP-1 sales continued to expand strongly despite tightening oversight of obesity-drug prescriptions, with combined sales of tirzepatide, mazdutide and semaglutide approaching CNY3 Bn in 1H26. **TZP remained the category leader, and MAZ was the key share gainer, having surpassed SEMA.** In hospital channels, the fastest-growing segments remain next-generation oncology modalities, led by **PD-(L)1 bispecific antibodies (+238% YoY)** and **TROP2 ADCs (+149% YoY)**. Kelun's sac-TMT continues taking share in the domestic TROP2 market, while the rapid emergence of ivonescimab highlights continued momentum in BsAbs.

Heading into 2Q/1H26 results, we expect **Kelun-Biotech and Innovent to remain the strongest performers in our coverage**. Kelun continues to benefit from robust sac-TMT uptake in the fast-growing TROP2 ADC segment, while Innovent is supported by both mazdutide's strong commercial ramp and continued share gains from tafolecimab.

Pharma names face a more challenging backdrop, balancing anti-corruption, VBP pressure and increasing competition across several innovative drug classes including CDK4/6 and IL-17. For **Hengrui**, we lower generic-drug assumptions to a roughly **10% annual decline through 2028E** and modestly reduce innovative-drug expectations. We also adopt a longer recognition period for licensing upfronts and milestones, reducing long-term BD income forecasts despite incorporating the recent BMS transaction. These changes lower our 12-month target price to **CNY65 from CNY71**. For **Hansoh**, operating assumptions are largely unchanged, but we similarly delay recognition of upfront payments and milestones, resulting in modestly lower long-term licensing income forecasts and a slightly reduced TP (HK$44 from HK$47).

First Published: 13 Jul 2026 22:30 UTC Completion Date: 13 Jul 2026 15:30 UTC

BERNSTEIN TICKER TABLE

			13 Jul 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
9926.HK (Akeso)	M	HKD	95.25	130.00	(51.1)%	CNY	(0.60)	(0.52)	0.70	(136.2)	(159.5)	117.8
ONC (BeOne)	O	USD	298.70	412.00	(1.3)%	USD	2.63	5.65	8.93	113.5	52.8	33.4
1093.HK (CSPC)	M	HKD	8.16	10.70	(32.5)%	HKD	0.37	0.52	0.56	19.1	13.7	12.6
3692.HK (Hansoh)	O	HKD	32.52	**44.00**	(32.0)%	CNY	0.93	**0.97**	**0.88**	30.2	29.0	32.0
OLD				47.00				1.01	1.10			
1801.HK (Innovent)	O	HKD	89.10	120.00	(24.7)%	HKD	0.48	0.71	2.90	183.7	125.5	30.7
600276.CH (Hengrui)	O	CNY	55.75	**65.00**	(37.3)%	CNY	1.18	**1.42**	**1.78**	47.2	39.4	31.3
OLD				71.00				1.54	1.92			
6990.HK (Kelun-Biotech)	O	HKD	504.00	526.00	13.0%	CNY	(1.66)	(2.75)	0.85	43.4	44.1	27.2
1177.HK (Sino BioPh)	M	HKD	5.16	7.90	(48.3)%	CNY	0.19	0.20	0.22	23.3	21.9	20.1
9688.HK (Zai Lab)	M	HKD	15.89	15.00	(74.6)%	USD	(0.16)	(0.15)	(0.09)	0.5	0.5	0.4
ASIAX			1,947.59									
SPX			7,575.39									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

6990.HK, 9688.HK valuation is EV/Sales (x); 9926.HK, 1093.HK, 1177.HK base year is 2024;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Hansoh, Jiangsu Hengrui, Kelun-Biotech, BeOne Medicines, and Innovent Outperform; and Akeso, Zai Lab, Sino Biopharm, and CSPC Market-Perform.

DETAILS

POLICY UPDATES

Anti-corruption efforts intensified since 2Q26

Renewed enforcement, but more targeted than the 2023 campaign. China authorities have intensified healthcare anti-corruption efforts in 2Q26, with the National Health Commission (NHC) and 13 government departments launching a nationwide campaign targeting misconduct in pharmaceutical promotion, healthcare services and procurement activities (source). Recent measures have also placed greater scrutiny on marketing activities conducted under the guise of academic meetings, research collaborations and patient programs, alongside tighter oversight of medical insurance fund usage and procurement compliance. Compared with the broad-based disruption seen during the 2023 anti-corruption campaign, **the current round appears more compliance-focused and targeting specific behaviors and payment practices** rather than causing a widespread suspension of hospital activities**.**

Company feedback suggests limited and uneven commercial impact so far. Management commentary across our coverage indicates a varying range of potential impact. **Hengrui has highlighted disruptions to academic promotional activities and hospital formulary listing processes**, particularly in l**ower-tier cities** where hospital decision-making has become more cautious; however, management views these disruptions as **temporary rather than structural**. In contrast, Innovent has indicated limited impact, reflecting the resilience differentiated products particularly in chronic diseases. Overall, current feedback points to localized execution headwinds rather than the broad commercial freeze experienced in 2023.

Our view: near-term friction, but long-term supportive for innovation. We expect anti-corruption measures to create temporary friction in physician engagement, promotion and hospital access activities, leading to a modest near-term slowdown in prescription growth across parts of the industry. There is likely more impact for crowded therapeutic classes and me-too products that rely heavily on promotional intensity, while differentiated innovative therapies should remain relatively resilient. **Over the longer term, we view anti-corruption as supportive for industry quality, as prescribing decisions should increasingly be driven by clinical efficacy, safety profiles and real-world outcomes rather than commercial promotion.** In this environment, companies with truly innovative pipelines and clear product differentiation should be the principal beneficiaries.

VBP batch 12: Hengrui and Hansoh implicated moderately

The National Organization for Drug Joint Procurement formally launched the 12th national VBP on **23 June 2026**, with the final procurement list covering **65 drug varieties** after an earlier information pre-fill process (source). The basket is concentrated in large off-patent therapeutic categories, including cardiovascular, oncology and metabolic products, and represents one of the larger VBP rounds by market value in recent years. Companies are currently preparing tender submissions, with **bidding and award announcements expected over the coming months**, followed by gradual provincial implementation.

Hengrui likely the most exposed name in our coverage, although the earnings impact should be manageable. Sevoflurane remains one of Hengrui's larger legacy generic products and has already experienced revenue pressure during 2025 following provincial procurement initiatives. Based on our assumptions for price reduction and tender allocation, we estimate **cumulative sales erosion of roughly CNY0.5–1.3 Bn over the next two to three years (Exhibit 1)**. While meaningful at the product level, this represents a relatively limited headwind compared with Hengrui's CNY30 Bn-plus revenue base and should be increasingly offset by growth from innovative products. **Hansoh also has exposure through two products included in the procurement basket.** We expect pressure on the affected mature products, although the overall portfolio impact should be limited given the company's growing contribution from innovative medicines close to 80%.

Overall we view Batch 12 primarily as a **product-level modeling adjustment** rather than a material change to Hengrui or Hansoh's broader earnings trajectory.

EXHIBIT 1: **VBP Batch 12 exposure is concentrated in Hengrui and Hansoh**

Company	TTM company sales as of 1Q26 (CNY Mn)	Drug name	TTM drug sales as of 1Q26 (CNY Mn)	Sales contribution
Hengrui	24,931	Sevoflurane	1,645	**7%**
		Mycophenolate sodium	152	1%
		Tolvaptan	88	0%
		Leucovorin calcium	59	0%
		Tacrolimus	50	0%
		Compound amino acid	3	0%
Hansoh	8,832	Enzalutamide	369	**4%**
		Paliperidone	314	**4%**
		Deferasirox	1	0%
CSPC	17,203	Ertapenem sodium	257	1%
		Pentoxifylline	202	1%
		Paliperidone	83	0%
		Tramadol hydrochloride	25	0%
		Estazolam	22	0%
		Vitamin B6	8	0%
		Sacubitril/Valsartan sodium	3	0%
		Mesalazine	0	0%
SBP	21,938	Tolvaptan	302	1%
		Sitagliptin phosphate/metformin hydrochloride	195	1%
		Iguratimod	69	0%
		Compound amino acids injection	43	0%
		Ceftazidime/Avibactam	37	0%
		Iopromide	10	0%
		Saxagliptin hydrochloride/metformin hydrochloride	0	0%

Source: SMPAA, Pharmcube, Bernstein analysis

1H26 DRUG SALES UPDATE

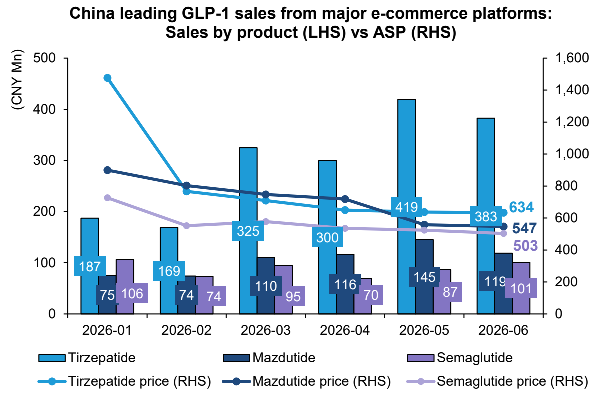
GLP-1: TZP the category leader; MAZ on track to reach CNY2 Bn in 2026

GLP-1 retail demand remained robust in 1H26 despite regulatory noise around online obesity-drug sales. Online sales of the three leading GLP-1 products—tirzepatide (TZP), mazdutide (MAZ) and semaglutide (SEMA)—continued to grow strongly through 1H26, with combined online retail sales approaching CNY3 Bn based on channel tracking (Exhibit 2,Exhibit 3). In May, media reports indicated tighter controls on online sales of obesity medicines, including stricter prescription verification requirements and restrictions on internet-hospital prescriptions in certain regions. However, GLP-1 products largely remained accessible because they are also approved for type 2 diabetes (source). While all three products experienced modest sequential moderation in June, we think it is too early to conclude that the regulatory tightening has materially altered underlying demand trends.

Tirzepatide remained the category leader, and mazdutide was the key share gainer in 1H26. Based on our channel data, TZP generated approximately CNY1.8 Bn of retail sales during 1H26, representing about 60% share of the tracked GLP-1 market. Nevertheless, Innovent's MAZ continued to gain share against SEMA and surpassed it in monthly sales from March onward. At the current trajectory, we estimate MAZ online sales could reach approximately **CNY1.3–1.5 Bn** in 2026. Assuming online sales account for roughly **60–70%** of total retail sales, we believe total MAZ sales remain on track to achieve the company's **~2Bn** target for 2026.

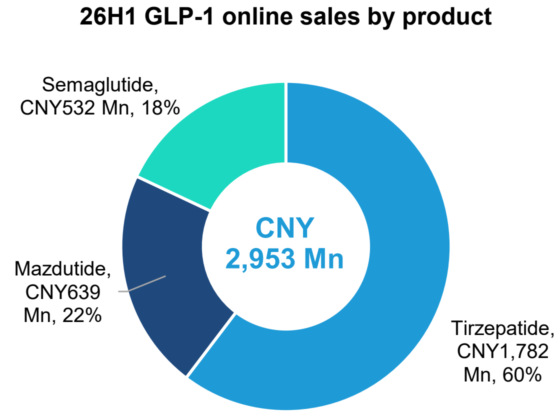
Pricing competition has eased since early 2026. Following the significant price reset for TZP in January, average selling prices have largely stabilized through 2Q26 even as volumes continued to expand. MAZ prices have gradually moved lower over recent months and are now much closer to TZP levels. We expect pricing across the leading GLP-1 products to be broadly stable in 2H26, while the next major catalyst for MAZ will be the **2026 NRDL negotiations in November–December**, which could meaningfully expand patient access in hospital channels and support another leg of volume growth in 2027.

EXHIBIT 2: **Tirzepatide online sales grew the most in recent months; mazdutide had surpassed semaglutide sales since March**



Semaglutide: include ozempic and wegovy
Source: Moojing Intelligence (Taobao + Tmall + JD), Bernstein analysis

EXHIBIT 3: **Mazdutide recorded over CNY 600 Mn online sales in 1H26, getting 22% of share as 2nd place among Top 3 GLP1s**



Semaglutide: include ozempic and wegovy
Source: Moojing Intelligence (Taobao + Tmall + JD), Bernstein analysis

1Q26 sample hospital sales

Kelun's sac-TMT has been major beneficiary of the fast-growing TROP2 ADC market (Exhibit 7), which expanded 149% YoY in 1Q26. The product continued taking share from Trodelvy and strengthened its leadership position in the domestic TROP2 ADC segment. Among our coverage names, Kelun has the most **clean-cut gain of commercial momentum** as a single-asset company (aside from a few much smaller products).

Innovent remained steady, with Tafolecimab continuing share gain in the rapidly expanding PCSK9 market (Exhibit 15), where sales grew **75% YoY;** meanwhile sintilimab has lost share to smaller PD-1 players but remained a solid second after tislelizumab (Exhibit 9). Combined with strong mazdutide momentum outside hospital channels, Innovent continues to demonstrate broad-based growth across multiple innovative franchises.

BeOne Medicines: BRUKINSA continued to demonstrate strong commercial momentum in the U.S. BTKi market, with sales steadily increasing and market share rising from **30% in 4Q25 to 36% in 2Q26** (Exhibit 6). The product consistently gained share at the expense of IMBRUVICA, becoming a key growth driver within the expanding BTKi class.

Hengrui: mixed trends in recently launched drugs. **Rezvilutamide** continued gaining share in the **androgen receptor (AR)** market, which accelerated to **+23% YoY** (Exhibit 11), while dalpiciclib lost share in the **+36% YoY** CDK4/6 market (Exhibit 12). Vunakizumab, new to the IL-17/23 market, was yet to get meaningful share (Exhibit 14).

Hansoh's key product aumolertinib continued to benefit from expansion of the 3rd-generation EGFR-TKI market, although category growth slowed to **+18% YoY** and osimertinib regained share to roughly **49%** (Exhibit 13). The company remains exposed to a healthy oncology market backdrop, but momentum appears more stable than accelerating compared with prior quarters. Overall, 1Q26 suggests **steady growth** rather than a material inflection in hospital sales performance.

(Note: in late May 2026, Pharmcube expanded its sample hospital universe from 1,600 to 3,000 institutions. This restructuring enhances coverage by capturing a broader volume of Class II and lower-tier county hospitals in China, and thus leads to a ballooning of historical absolute sales data.)

EXHIBIT 4: **Overall drug sales declined 4% YoY in 1Q26, reflecting continued weakness in generics, biosimilars, and TCMs despite resilient innovative sales**

Drug category	LTM sales (in CNY Bn)	LTM sales YoY %	1Q26 sales (in CNY Bn)	1Q26 sales YoY %	Q1 2-year average YoY %
Total drug sales	1,057	-3%	257	-4%	1%
Gx, biosimilars, and new formulations	497	-5%	120	-6%	-3%
TCMs and others	181	-7%	42	-13%	3%
Innovatives	379	4%	95	2%	7%

Note: Pharmcube's definition of innovative drugs differs from ours, as they include legacy drugs such as aspirin with existing Gx in the market, which we do not adopt in our previous note

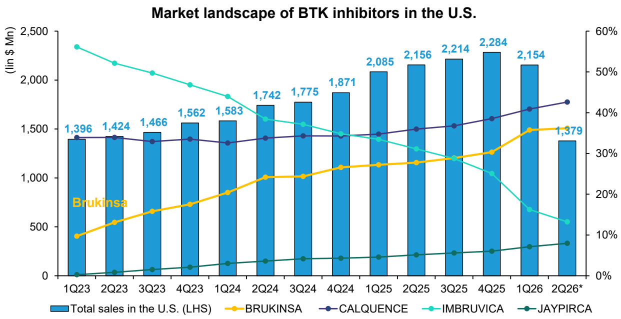
Source: Pharmcube, Bernstein analysis

EXHIBIT 5: **YoY growth summary of domestic drug sales by drug class**

Drug category	Drug class	Treatment area	TTM sales as of 1Q26 (in CNY Mn)	TTM sales YoY%	TTM sales YoY% of the previous quarter	Delta
Innovatives	PD-1 (BsAbs)	Oncology	1,170	238%	21%	217%
	TROP2 (ADCs)	Oncology	276	103%	212%	-109%
	HER2 (ADCs)	Oncology	2,431	65%	43%	22%
	PCSK9	Cardiovascular	4,970	54%	91%	-37%
	CDK4/6	Oncology	2,611	37%	44%	-7%
	AR	Oncology	4,256	35%	29%	6%
	GLP-1	Metabolics	10,268	14%	15%	-1%
	IL-17/23	Immunology	4,411	11%	7%	4%
	PD-(L)1 (mAb)	Oncology	14,998	11%	17%	-6%
	EGFR-TKIs	Oncology	10,984	6%	14%	-7%
	PARP	Oncology	2,372	4%	19%	-16%
	VEGFR inhibitors	Oncology	7,608	-2%	11%	-13%
	TPO	Hematology	8,307	-6%	6%	-11%
Biosimilars	Adalimumab	Immunology	1,669	13%	7%	5%
	Bevacizumab	Oncology	11,587	10%	21%	-10%
	Rituximab	Oncology	3,619	7%	10%	-3%
	G-CSF	Hematology	7,224	-10%	5%	-16%

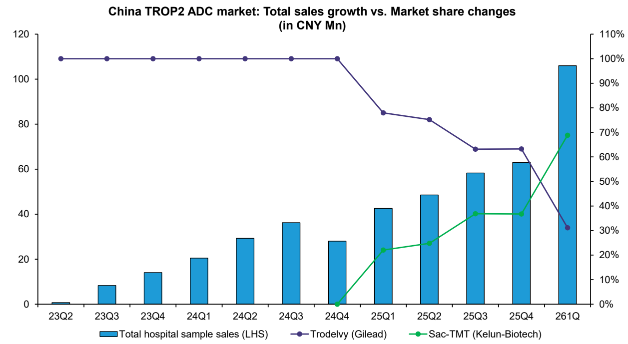
Source: Pharmcube, Bernstein analysis

EXHIBIT 6: **BRUKINSA's share gain continued in 2Q26, up 6% to 36% in 2Q26 from 30% in 4Q25**



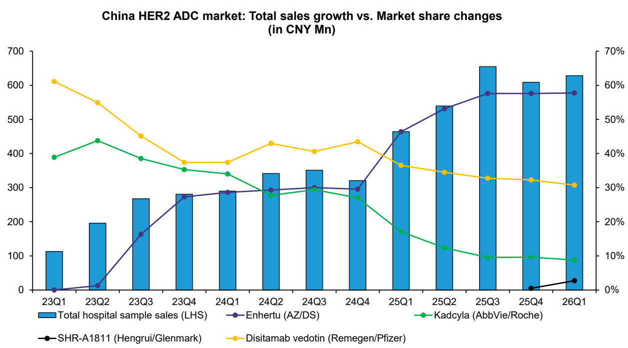
Note: * 2Q26 data are through May 2026 only and do not represent a full quarter
Source: IQVIA, Bernstein analysis

EXHIBIT 7: **China TROP2 ADC sample hospital sales up 149% YoY; sac-TMT gaining share at the expense of Trodelvy**



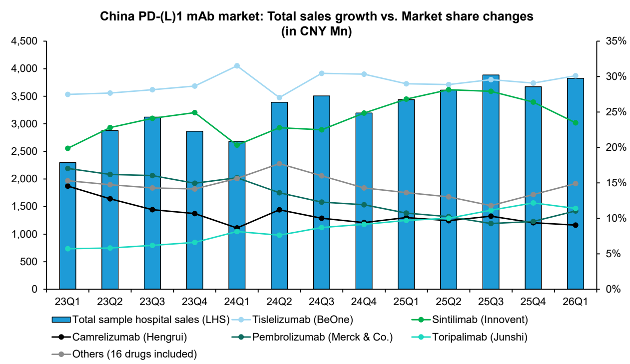
Note: * Trastuzumab botidotin is newly approved with minimal shares and are therefore not shown
Source: Pharmcube, Bernstein analysis

EXHIBIT 8: **China HER2 ADC sample hospital sales up 35% YoY; Enhertu is becoming the dominant product by market share**



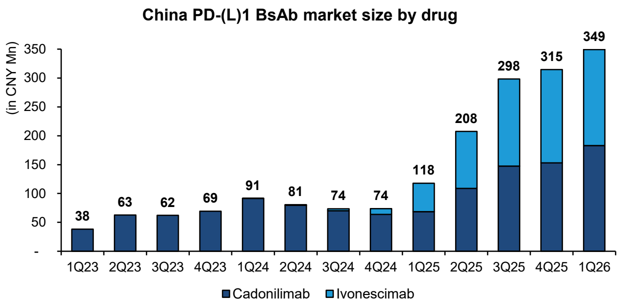
Note: * Trastuzumab botidotin is newly approved with minimal shares and are therefore not shown
Source: Pharmcube, Bernstein analysis

EXHIBIT 9: **China PD-(L)1 mAb sample hospital sales up 11% YoY; Tislelizumab and other minor PD-(L)1 mAbs gained share in 1Q26**



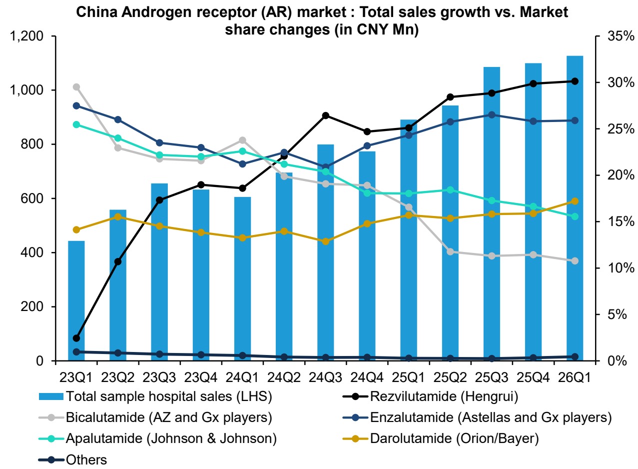
Source: Pharmcube, Bernstein analysis

EXHIBIT 10: **China PD-(L)1 BsAb sample hospital sales up 198% YoY; ivonescimab rapidly emerging as a major contributor alongside cadonilimab**



Note: Retlirafusp alfa is newly approved with minimal shares and are therefore not shown
Source: Pharmcube, Bernstein analysis

EXHIBIT 11: **China AR market sample hospital sales up 23% YoY; Hengrui's rezvilutamab continued its momentum in 1Q26**

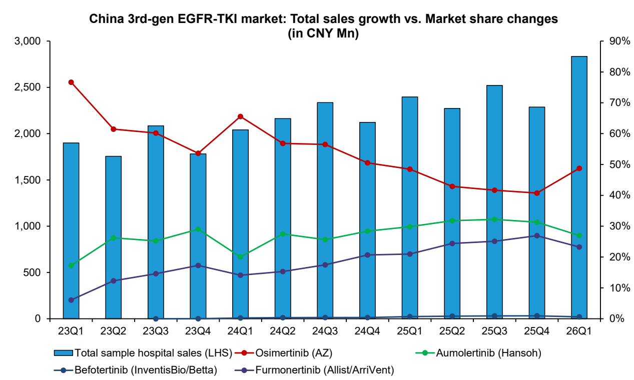


Note: Total sample hospital sales mentioned above excludes any non-AR inhibitor drugs due to their differences in drug MoA from the mentioned drugs
Source: Pharmcube, Bernstein analysis

EXHIBIT 12: **China CDK4/6 sample hospital sales up 36% YoY; Hengrui's dalpiciclib receded**

Source: Pharmcube, Bernstein analysis

EXHIBIT 13: **China 3rd-gen EGFR-TKI sample hospital sales up ~18% YoY; osimertinib's market share rebounded to ~49% in 1Q26 following a period of share erosion between 2024-2025**

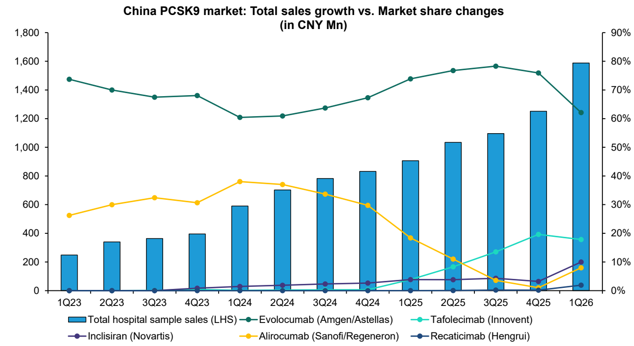


Note: * Limertinib, rilertinib, lazertinib, and rezivertinib are newly approved with minimal shares and are therefore not shown
Source: Pharmcube, Bernstein analysis

EXHIBIT 14: **China IL-17 & IL-23 sample hospital sales up 10% YoY; Hengrui's vunakizumab and Akeso's ebdarokimab are ramping up**

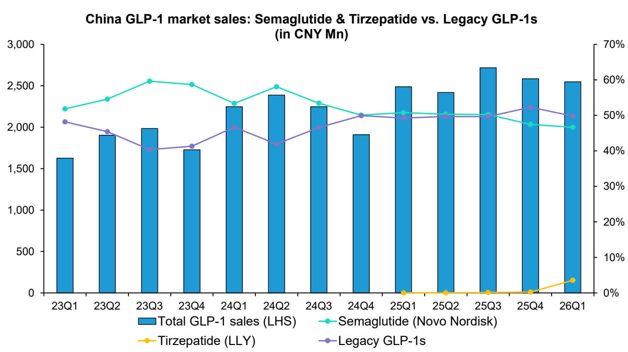
Source: Pharmcube, Bernstein analysis

EXHIBIT 15: **China PCSK9 sample hospital sales up 75% YoY; evolocumab saw a share cliff in 1Q26**



Note: * Ongericimab is newly approved with minimal shares and are therefore not shown
Source: Pharmcube, Bernstein analysis

EXHIBIT 16: **China GLP-1 sample hospital sales up 2.4% YoY; Tirzepatide emerged as the fastest share gainer in 1Q26**



Note: * Mazdutide is newly approved with minimal shares and are therefore not shown
Source: Pharmcube, Bernstein analysis

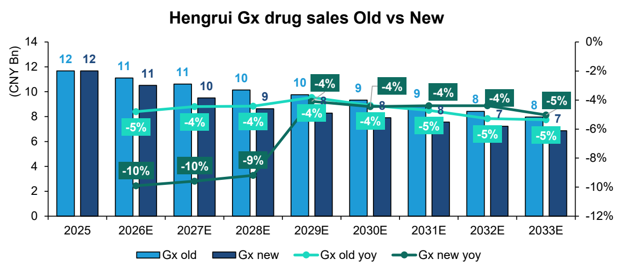
MODEL UPDATES

Hengrui: recalibrating growth expectations amid accelerated Gx decline

We revised our Hengrui forecasts to reflect a more challenging operating environment for both the generics and innovative drug franchises. We lowered our Gx sales trajectory - **annual decline of 10% from 2025 to 2028E (vs. low single digit decline in old model)**, driven by the impact of VBP Batch 12 and management's guidance indicating a faster pace of generic product erosion. We also adjusted innovative drug sales expectations moderately, reflecting the friction from the heightened anti-corruption efforts in the near-term and increasing intensity of competition in key drug classes (CDK4/6, PCSK9, IL-17) seen above. However, a series of new launches in 2028–2030 in more differentiated spaces (GLP1/GIP, oral GLP1/GIP, are expected to support growth in the later years.

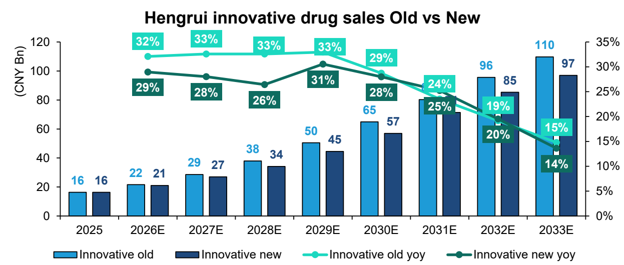
On license income, we incorporated the recent BMS transaction (BMS is covered by Courtney Breen), and **spread out upfront payments from recent and future licensing deals over a 4–5 year period and delay the onset of milestones**, as deals are increasingly done on multiple early-stage assets that extend the time of upfront payment recognition. As a result, our long-term BD income outlook is slightly lower despite the positive contribution from the BMS deal (Exhibit 18-Exhibit 19). New 12m TP arrives at CNY65 (vs. OLD CNY71), with 17% upside (Exhibit 20-Exhibit 22).

EXHIBIT 17: **We assume accelerating decline in its Gx business**



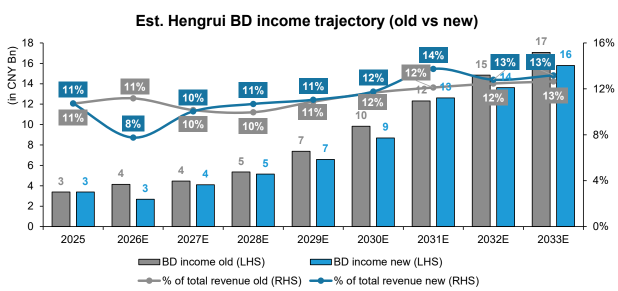
Source: Company disclosure, Bernstein analysis and estimates

EXHIBIT 18: **Lower innovative drug sales expected in later years**



Source: Company disclosure, Bernstein analysis and estimates

EXHIBIT 19: **Expected license income dropped because of slower recognition of upfront payments and milestones**



Source: Company disclosure, Bernstein analysis and estimates

EXHIBIT 20: **DCF method - Hengrui**

DCF method - Hengrui									
(RMB in Millions, Unless Otherwise Indicated)	**2024** Act.	**2025** Act.	**2026** Est.	**2027** Est.	**2028** Est.	**2029** Est.	**2030** Est.	**2031** Est.	**2039** Est.
Total Revenue	**27,985**	**31,629**	**34,488**	**40,814**	**48,117**	**59,634**	**73,835**	**91,805**	
Annual Growth %	*23%*	*13%*	*9%*	*18%*	*18%*	*24%*	*24%*	*24%*	
EBIT (reported)	7,491	8,990	10,945	13,802	17,182	22,400	28,081	35,637	
Annual Growth %	*53%*	*20%*	*22%*	*26%*	*24%*	*30%*	*25%*	*27%*	
Margin %	*27%*	*28%*	*32%*	*34%*	*36%*	*38%*	*38%*	*39%*	
Less: Income Taxes	(1,124)	(1,349)	(1,642)	(2,070)	(2,577)	(3,360)	(4,212)	(5,346)	
Unlevered Net Income	**6,367**	**7,642**	**9,304**	**11,731**	**14,604**	**19,040**	**23,869**	**30,291**	
Plus: Depreciation and Amortization	776	804	964	1,150	1,367	1,606	1,899	2,256	
Less: Capital Expenditure	(1,969)	(2,962)	(2,843)	(3,284)	(3,848)	(4,226)	(5,194)	(6,317)	
Less: (Increase)/Decrease in Working Capital	393	74	(509)	(1,222)	(1,418)	(2,242)	(2,796)	(3,517)	
Unlevered Free Cash Flow	**5,567**	**5,558**	**6,916**	**8,375**	**10,706**	**14,178**	**17,778**	**22,713**	**59,553**
Annual Growth %	*4%*	*0%*	*24%*	*21%*	*28%*	*32%*	*25%*	*28%*	*8%*
Discount Factor - End-of-Period Convention	(1.53)	(0.53)	0.47	1.47	2.47	3.47	4.47	5.47	13.47
Present value of FCF	0	0	3,096	7,262	8,424	10,123	11,519	13,354	16,098
Cumulative PV of FCF	**0**	**0**	**3,096**	**10,358**	**18,782**	**28,905**	**40,423**	**53,777**	**183,364**
Terminal Value									792,746
PV of Terminal Value									**214,295**
Total Corporate Value									397,659
Less: Debt, Preferred Capital, Minority Interest									0
Add: Cash and Investments									40,955
Implied 12-Month Forward EV									**438,220**
Shareholder Value									438,614
Implied Core Value per Share Today (RMB)									**66**
Implied 12-Month Forward Core Value per Share (RMB)									**73**

Source: Company disclosures, Bernstein estimates and analysis

EXHIBIT 21: **P/E method - Hengrui**

P/E method - Hengrui	
Target forward P/E ratio (NTM)	40.0
NTM earnings estimate (RMB Mn)	9,758
Shareholder value (RMB Mn)	390,323
Implied Core Value per Share Today (RMB)	**53**
Implied 12-Month Forward Core Value per Share (RMB)	**59**

Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 22: **EV/EBITDA method - Hengrui**

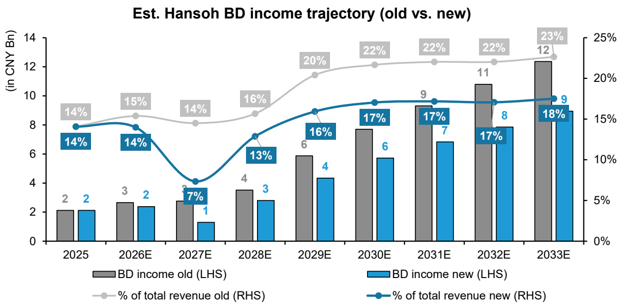
EV/EBITDA method - Hengrui	
Target forward EV/EBITDA ratio (NTM)	30.0
NTM EBITDA estimate (RMB Mn)	12,793
Total Corporate Value (RMB Mn)	383,793
Less: Debt, Preferred Capital, Minority Interest	0
Add: Cash and Investments	40,955
Shareholder value (RMB Mn)	424,749
Shareholder value per share today (RMB)	**58**
Implied 12-month shareholder value per share (RMB)	**64**

Source: Bloomberg, Bernstein estimates and analysis

Hansoh: modest model adjustments driven by BD accounting assumptions

We make no change to Hansoh Gx assumptions, with the portfolio already modeled to decline at roughly **10% annually**, reflecting continued genericization and VBP pressure. The innovative drug outlook is also largely unchanged given stable commercial performance across key products. The main revision is to **license income**, where we adopt the same methodology as Hengrui by spreading upfront payments over a longer **3-4 year recognition period** and delaying milestone contributions. As a result, BD income and its contribution to revenue are modestly lower over the forecast period despite no change to our underlying partnering expectations (Exhibit 23). New 12m TP arrives at HK$44 (vs. OLD HK$47), with 35% upside (Exhibit 24-Exhibit 26).

EXHIBIT 23: **We revise our BD income forecasts for Hansoh to reflect a more gradual recognition of upfront payments**



Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 24: **Hansoh DCF valuation**

DCF method - Hansoh								
	12/31/2024	12/31/2025	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030	12/31/2039
(RMB in Millions, Unless Otherwise Indicated)	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2039**
	Act.	Act.	Est.	Est.	Est.	Est.	Est.	Est.
Total Revenue	**12,261**	**15,028**	**16,985**	**17,859**	**21,722**	**27,496**	**33,839**	
Annual Growth %	*21%*	*23%*	*13%*	*5%*	*22%*	*27%*	*23%*	
EBIT (adjusted for SBC)	4,083	5,624	5,797	5,633	7,600	11,100	14,430	
Annual Growth %	*40%*	*38%*	*3%*	*-3%*	*35%*	*46%*	*30%*	
Margin %	*33%*	*37%*	*34%*	*32%*	*35%*	*40%*	*43%*	
Less: Income Taxes	(612)	(844)	(870)	(845)	(1,140)	(1,665)	(2,165)	
Unlevered Net Income	**3,471**	**4,780**	**4,928**	**4,788**	**6,460**	**9,435**	**12,266**	
Plus: Depreciation and Amortization	401	401	392	413	457	516	598	
Less: Capital Expenditure	(305)	(374)	(625)	(836)	(1,016)	(1,287)	(1,583)	
Less: (Increase)/Decrease in net Working Capital	36	(474)	266	265	(386)	(720)	(797)	
Unlevered Free Cash Flow	**3,603**	**4,333**	**4,960**	**4,630**	**5,515**	**7,944**	**10,484**	**27,236**
Annual Growth %	*32%*	*20%*	*14%*	*-7%*	*19%*	*44%*	*32%*	*6%*
Discount Factor - End-of-Period Convention	(1.53)	(0.53)	0.47	1.47	2.47	3.47	4.47	13.47
Present value of FCF	0	0	2,220	4,011	4,334	5,662	6,777	7,311
Cumulative PV of FCF	**0**	**0**	**2,220**	**6,231**	**10,565**	**16,227**	**23,004**	**93,360**
Terminal Value								359,876
PV of Terminal Value								**96,602**
Total Corporate Value								189,962
Less: Debt, Preferred Capital, Minority Interest								41
Add: Cash and Investments								31,566
Implied 12-Month Forward EV								**208,086**
Shareholder Value								221,488
Implied Core Value per Share Today (RMB)								**37**
Implied 12-Month Forward Core Value per Share (RMB)								**41**

Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 25: **Hansoh 2030E P/E valuation**

2030E P/E method - Hansoh	
2030E P/E multiple	23.0
Est. 2030E net income	12,984
Shareholder value (RMB Mn)	298,630
Implied Core Value per Share Today (CNY)	**34**
Implied 12-month Value per Share (CNY)	**37**
Implied 2030 Forward Core Value per Share (CNY)	**50**

Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 26: **Hansoh 2030E EV/EBITDA valuation**

2030E EV/EBITDA method - Hansoh	
2030E EV/EBITDA multiple	18.0
Est. 2030E EBITDA	14,751
Enterprise value (RMB Mn)	265,526
Shareholder value (RMB Mn)	297,052
Implied Core Value per Share Today (CNY)	**34**
Implied 12-month Value per Share (CNY)	**37**
Implied 2030 Forward Core Value per Share (CNY)	**50**

Source: Bloomberg, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 27: **Hengrui's Income statement**

RMB in Millions	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Revenue	**31,629**	**34,488**	**40,814**	**48,117**	**59,634**	**73,835**	**91,805**	**106,411**	**119,855**	**131,168**	**142,882**
Gross Profit	27,267	30,224	36,070	42,773	53,295	66,043	82,329	95,302	107,394	117,556	128,135
Research and development expenses	(6,961)	(7,587)	(8,979)	(10,345)	(12,523)	(15,505)	(19,279)	(22,346)	(25,170)	(27,545)	(30,005)
Selling, general and administrative	(11,913)	(12,519)	(14,285)	(16,360)	(19,679)	(23,996)	(22,951)	(26,603)	(29,364)	(32,136)	(35,006)
EBIT	8,990	10,945	13,802	17,182	22,400	28,081	35,637	41,146	46,955	51,386	56,046
Non-operating expense	(282)	(282)	(326)	(382)	(472)	(580)	(705)	(826)	(927)	(1,013)	(1,097)
Pretax Income (Loss)	8,708	10,663	13,476	16,800	21,928	27,502	34,932	40,320	46,028	50,373	54,949
Tax	991	1,599	2,021	2,520	3,289	4,125	5,240	6,048	6,904	7,556	8,242
Net Income	7,717	9,064	11,454	14,280	18,639	23,376	29,692	34,272	39,124	42,817	46,707
Profit Attributable to SHs	7,711	9,057	11,446	14,269	18,625	23,358	29,669	34,245	39,094	42,784	46,671
EPS (Basic and Diluted)	1.19	1.42	1.78	2.21	2.88	3.59	4.53	5.18	5.86	6.33	6.79
YoY Growth											
Total Revenue	13.0%	9.0%	18.3%	17.9%	23.9%	23.8%	24.3%	15.9%	12.6%	9.4%	8.9%
Gross Profit	13.0%	10.8%	19.3%	18.6%	24.6%	23.9%	24.7%	15.8%	12.7%	9.5%	9.0%
EBIT	20.0%	21.8%	26.1%	24.5%	30.4%	25.4%	26.9%	15.5%	14.1%	9.4%	9.1%
Pretax Income (Loss)	21.5%	22.5%	26.4%	24.7%	30.5%	25.4%	27.0%	15.4%	14.2%	9.4%	9.1%
Net Income	21.8%	17.5%	26.4%	24.7%	30.5%	25.4%	27.0%	15.4%	14.2%	9.4%	9.1%

Source: Company disclosure, Bernstein estimates and analysis

EXHIBIT 28: **Hengrui's Balance sheet**

RMB in Millions	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash & Cash Equivalents	40,955	48,934	59,045	71,962	88,966	110,323	137,608	171,152	209,965	253,035	300,040
Short-term investments	-	-	-	-	-	-	-	-	-	-	-
Accounts Receivable	5,777	6,299	7,455	8,789	10,892	13,486	16,769	19,436	21,892	23,958	26,098
Inventories	2,878	2,814	3,130	3,526	4,182	5,140	6,252	7,329	8,221	8,981	9,730
Other Current Assets	1,879	1,987	2,224	2,499	2,932	3,465	4,141	4,690	5,195	5,620	6,060
Total Current Assets	**51,490**	**60,034**	**71,854**	**86,775**	**106,972**	**132,415**	**164,770**	**202,607**	**245,273**	**291,594**	**341,928**
Long Term Investments	2,030	2,030	2,030	2,030	2,030	2,030	2,030	2,030	2,030	2,030	2,030
Net PP&E	5,830	6,754	7,823	9,093	10,437	12,176	14,363	16,411	18,671	21,047	23,509
Other L-T Assets	10,517	11,952	13,349	14,953	16,835	19,050	21,803	24,249	26,899	29,496	32,209
Total Assets	**69,867**	**80,769**	**95,057**	**112,851**	**136,275**	**165,671**	**202,965**	**245,297**	**292,874**	**344,167**	**399,677**
Short-Term Debts	-	-	-	-	-	-	-	-	-	-	-
Accounts Payables and Other Payabl	4,422	4,413	5,011	5,858	7,223	8,913	11,033	12,863	14,517	15,874	17,245
Other Current Liabilities	1,947	1,947	1,947	1,947	1,947	1,947	1,947	1,947	1,947	1,947	1,947
Total Current Liabilities	**6,369**	**6,360**	**6,958**	**7,805**	**9,170**	**10,860**	**12,980**	**14,810**	**16,464**	**17,821**	**19,192**
Long-Term Liabilities	1,701	1,701	1,701	1,701	1,701	1,701	1,701	1,701	1,701	1,701	1,701
Total Liabilities	**8,070**	**8,061**	**8,659**	**9,506**	**10,872**	**12,561**	**14,681**	**16,512**	**18,165**	**19,522**	**20,893**
Shareholders' Equity	**61,797**	**72,708**	**86,398**	**103,345**	**125,403**	**153,110**	**188,284**	**228,786**	**274,709**	**324,645**	**378,784**
Total Liabilities & Shareholders' Equi	**69,867**	**80,769**	**95,057**	**112,851**	**136,275**	**165,671**	**202,965**	**245,297**	**292,874**	**344,167**	**399,677**

Source: Company disclosure, Bernstein estimates and analysis

EXHIBIT 29: **Hengrui's Cash flow statement**

RMB in Millions	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Net profit	7,711	9,057	11,446	14,269	18,625	23,358	29,669	34,245	39,094	42,784	46,671
Depreciation & Amortization	804	964	1,150	1,367	1,606	1,899	2,256	2,622	3,033	3,482	3,968
Other	2,721	(1,047)	(1,435)	(1,539)	(2,419)	(3,037)	(3,805)	(3,074)	(2,844)	(2,375)	(2,464)
Cash Flow From Operations	**11,235**	**8,974**	**11,160**	**14,097**	**17,811**	**22,221**	**28,120**	**33,794**	**39,283**	**43,891**	**48,175**
Capex	2,962	2,843	3,284	3,848	4,226	5,194	6,317	6,480	7,269	7,940	8,602
Other	(5,702)	(5,686)	(6,569)	(7,695)	(8,452)	(10,388)	(12,635)	(12,960)	(14,537)	(15,880)	(17,205)
Cash Flow From Investments	**(2,741)**	**(2,843)**	**(3,284)**	**(3,848)**	**(4,226)**	**(5,194)**	**(6,317)**	**(6,480)**	**(7,269)**	**(7,940)**	**(8,602)**
Equity Issued (Buyback)	(978)	(1,067)	(1,262)	(1,488)	(1,844)	(2,283)	(2,839)	(3,291)	(3,707)	(4,056)	(4,419)
Debt Issued (Repaid)	(4)	-	-	-	-	-	-	-	-	-	-
Other	8,764	2,914	3,498	4,155	5,263	6,614	8,321	9,521	10,505	11,175	11,851
Cash Flow From Financing	**7,782**	**1,847**	**2,236**	**2,667**	**3,419**	**4,331**	**5,482**	**6,230**	**6,799**	**7,119**	**7,433**
Net Effect of Exchange Rate Changes	(360)	-	-	-	-	-	-	-	-	-	-
Net Change in Cash	**16,277**	**7,978**	**10,112**	**12,916**	**17,004**	**21,357**	**27,285**	**33,544**	**38,813**	**43,070**	**47,005**
Beginning Cash	24,239	40,955	48,934	59,045	71,962	88,966	110,323	137,608	171,152	209,965	253,035
Ending Cash	**40,516**	**48,934**	**59,045**	**71,962**	**88,966**	**110,323**	**137,608**	**171,152**	**209,965**	**253,035**	**300,040**

Source: Company disclosure, Bernstein estimates and analysis

EXHIBIT 30: **Hansoh's Income Statement**

RMB in Millions	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Total Revenue	**9,382**	**10,104**	**12,261**	**15,028**	**16,985**	**17,584**	**21,722**	**27,222**	**33,564**	**39,753**	**46,003**	**51,114**
Gross Profit	8,515	9,073	11,155	13,530	15,451	15,874	19,451	24,704	30,501	36,131	41,806	46,476
Selling and distribution expenses	(3,550)	(3,531)	(3,796)	(4,064)	(4,675)	(5,214)	(6,056)	(7,323)	(8,911)	(10,536)	(12,209)	(13,493)
Administrative expenses	(597)	(710)	(713)	(672)	(877)	(978)	(1,135)	(1,373)	(1,671)	(1,976)	(2,289)	(2,530)
Research and development costs	(1,693)	(2,097)	(2,702)	(3,358)	(4,310)	(4,562)	(4,920)	(5,492)	(6,126)	(7,244)	(8,394)	(9,276)
EBIT	2,674	2,735	3,945	5,437	5,589	5,121	7,339	10,516	13,793	16,376	18,914	21,177
Non-operating income and expense, net	274	1,031	1,140	1,114	1,161	1,004	1,009	976	1,198	1,417	1,640	1,825
Pretax Income (Loss)	2,948	3,766	5,085	6,551	6,750	6,125	8,348	11,492	14,991	17,793	20,554	23,002
Tax	(365)	(489)	(713)	(995)	(1,012)	(919)	(1,252)	(1,724)	(2,249)	(2,669)	(3,083)	(3,450)
Net Income	2,584	3,278	4,372	5,555	5,737	5,206	7,095	9,768	12,742	15,124	17,471	19,552
Profit Attributable to SHs	2,584	3,278	4,372	5,555	5,737	5,206	7,095	9,768	12,742	15,124	17,471	19,552
Basic EPS	0.44	0.55	0.74	0.93	0.97	0.88	1.20	1.65	2.16	2.56	2.96	3.31
Diluted EPS	0.44	0.52	0.73	0.93	0.97	0.88	1.20	1.65	2.16	2.56	2.96	3.31
YoY Growth												
Total Revenue	-5.6%	7.7%	21.3%	22.6%	13.0%	3.5%	23.5%	25.3%	23.3%	18.4%	15.7%	11.1%
Gross Profit	-6.1%	6.5%	23.0%	21.3%	14.2%	2.7%	22.5%	27.0%	23.5%	18.5%	15.7%	11.2%
Net Income	-10.7%	27.7%	35.0%	28.8%	3.0%	-9.3%	36.3%	37.7%	30.4%	18.7%	15.5%	11.9%
Margins												
Gross profit	91%	90%	91%	90%	91%	90%	90%	91%	91%	91%	91%	91%
EBIT	29%	27%	32%	36%	33%	29%	34%	39%	41%	41%	41%	41%
Net Income	28%	32%	36%	37%	34%	30%	33%	36%	38%	38%	38%	38%

Source: Company disclosure, Bernstein estimates and analysis

EXHIBIT 31: **Hansoh's Balance Sheet**

RMB in Millions	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Cash & Cash equivalence	21,623	24,857	23,386	26,483	30,209	33,568	37,133	41,949	47,822	55,216	63,875	73,759
Trade and Bills Receivable	3,578	3,214	3,170	3,679	3,926	3,823	4,425	5,546	6,838	8,099	9,372	10,414
Inventories	448	576	651	862	862	938	1,213	1,345	1,637	1,935	2,242	2,478
Other Current Assets	182	236	235	287	325	336	416	521	642	760	880	978
Total Current Assets	**25,832**	**28,883**	**27,442**	**31,312**	**35,321**	**38,665**	**43,188**	**49,361**	**56,939**	**66,010**	**76,370**	**87,628**
Long Term Investments	654	685	702	702	702	702	702	702	702	702	702	702
Net PP&E	3,196	3,045	2,805	2,721	2,885	3,223	3,683	4,304	5,101	6,044	7,117	8,259
Other L-T Assets	321	426	709	744	792	841	917	1,025	1,170	1,346	1,553	1,780
Total Assets	**30,002**	**33,039**	**31,658**	**35,480**	**39,700**	**43,432**	**48,490**	**55,393**	**63,912**	**74,103**	**85,743**	**98,369**
Short-Term Convertibles	-	4,183	41	41	41	41	41	41	41	41	41	41
Trade & bills and Other Payables and Accruals	2,488	2,539	2,572	2,868	3,414	3,727	4,228	4,917	5,815	6,870	7,957	8,783
Other Current Liabilities	132	140	82	82	82	81	86	93	102	111	120	128
Total Current Liabilities	**2,620**	**6,863**	**2,695**	**2,991**	**3,537**	**3,849**	**4,354**	**5,050**	**5,958**	**7,022**	**8,118**	**8,951**
Long-Term Liabilities	4,735	381	283	267	255	247	240	236	232	229	227	226
Total Liabilities	**7,355**	**7,244**	**2,978**	**3,258**	**3,792**	**4,095**	**4,594**	**5,286**	**6,190**	**7,252**	**8,346**	**9,177**
Shareholders' Equity	**22,647**	**25,795**	**28,680**	**32,222**	**35,908**	**39,336**	**43,895**	**50,107**	**57,722**	**66,851**	**77,397**	**89,192**
Total Liabilities & Shareholders' Equity	**30,002**	**33,039**	**31,658**	**35,480**	**39,700**	**43,432**	**48,490**	**55,393**	**63,912**	**74,103**	**85,743**	**98,369**

Source: Company disclosure, Bernstein estimates and analysis

EXHIBIT 32: **Hansoh's Cash Flow Statement**

RMB in Millions	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Profit before tax	2,948	3,766	5,085	6,551	6,750	6,125	8,348	11,492	14,991	17,793	20,554	23,002
Depreciation & Amortization	344	366	401	401	392	413	456	515	596	700	825	967
Share-based payments	179	171	138	187	208	237	261	310	363	430	498	550
Other	(731)	(1,187)	(1,762)	(2,583)	(1,836)	(1,542)	(2,661)	(3,313)	(4,191)	(4,639)	(5,257)	(5,736)
Net Cash Flow From Operations	**2,741**	**3,116**	**3,862**	**4,555**	**5,513**	**5,234**	**6,404**	**9,004**	**11,758**	**14,285**	**16,619**	**18,784**
Capex	(292)	(363)	(305)	(374)	(625)	(823)	(1,016)	(1,274)	(1,571)	(1,860)	(2,153)	(2,392)
Other	(5,643)	1,436	(1,087)	(399)	(662)	(632)	(1,189)	(2,078)	(2,734)	(3,266)	(3,749)	(4,146)
Cash Flow From Investments	**(5,935)**	**1,074**	**(1,392)**	**(773)**	**(1,287)**	**(1,455)**	**(2,206)**	**(3,352)**	**(4,305)**	**(5,126)**	**(5,902)**	**(6,538)**
Equity Issued (Buyback)	(77)	(115)	(34)	(37)	(39)	(35)	(49)	(288)	5	5	5	5
Debt/Convertibles Issued (Repaid)	(25)	-	(4,183)	-	-	-	-	-	-	-	-	-
Other	(717)	(639)	(1,849)	(2,183)	(2,235)	(1,991)	(2,757)	(3,585)	(5,500)	(6,433)	(7,430)	(8,315)
Cash Flow From Financing	**(818)**	**(754)**	**(6,066)**	**(2,220)**	**(2,274)**	**(2,026)**	**(2,806)**	**(3,872)**	**(5,494)**	**(6,428)**	**(7,425)**	**(8,309)**
Net Effect of Exchange Rate Changes	(41)	(122)	(62)	-	-	-	-	-	-	-	-	-
Net Change in Cash	**(4,053)**	**3,314**	**(3,658)**	**1,562**	**1,952**	**1,753**	**1,392**	**1,779**	**1,959**	**2,731**	**3,293**	**3,937**
Beginning Cash	6,719	2,666	5,981	2,323	3,885	5,837	7,589	8,981	10,761	12,719	15,450	18,743
Ending Cash	**2,666**	**5,981**	**2,323**	**3,885**	**5,837**	**7,589**	**8,981**	**10,761**	**12,719**	**15,450**	**18,743**	**22,680**

Source: Company disclosure, Bernstein estimates and analysis

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

This research publication covers six or more companies. For valuation methodology and other company disclosures:
Please visit: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.
Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RISKS

This research publication covers six or more companies. For risks and other company disclosures:
Please visit: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.
Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as ‘Feature’ (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS/ RATINGS AND PRICE TARGET HISTORY

This research publication covers six or more companies. For price chart and other company disclosures, please visit https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action or you can write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

+1 Bernstein Institutional Services LLC; New York, New York, USA

+44 Bernstein Autonomous LLP; London UK

+212 Société Générale Africa Technologies & Services; Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

+49 BSG France S.A.; Frankfurt, Germany

+91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

+65 Sanford C. Bernstein (Singapore) Private Limited; Singapore

+81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the "Autonomous" and "Bernstein" brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.

- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to "Autonomous" branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation ("MAR") and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission ("SEC") and a member of the U.S. Financial Industry Regulatory Authority, Inc. ("FINRA") is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as "permitted client" as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. ("BTG") is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (https://www.sfc.hk/publicregWeb/corp/AXC846/details)). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People’s Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the “PRC”) in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
  - do not have any financial interest in the subject company
  - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
  - is not engaged in any investment banking activities for Indian companies, as such;
  - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
  - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
  - have not received compensation for brokerage services from the subject company in the past twelve months;
  - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
  - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.

- do not have any conflict of interest in the subject company as of the date of this report.

- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.

- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.

- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com

- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at Sanford C. Bernstein (India) Private Limited (https://bernsteinresearch.in/) for your reference.

- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum